

A Step Closer

With India's first dedicated personal digital data protection law, the challenge now lies in implementing its provisions

BY NIDHI SINGAL

► **AFTER A LONG** wait and multiple drafts, the Digital Personal Data Protection Bill, 2023, has been passed by both Houses of Parliament, giving India its first legislation regarding citizens' online privacy. With its passage, the country now has guidelines around how an individual's data can be used by private or government entities.

This legislation is the culmination of years of effort by the government and industry to bring a standalone data protection law in India that aims to regulate all forms of personal data collected, processed and stored in the digital format, and it is also applicable to entities operating from outside India. It introduces key concepts such as Data Fiduciary and Data Principal, and emphasises the importance of obtaining the user's consent to

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process their data. Manish Sehgal, Partner of Risk Advisory at Deloitte India, says that once notified, "the law will allow individuals (referred to as Data Principals) to govern their own personal digital data, and require enterprises (Data Fiduciaries) to process personal data of individuals in a lawful manner, for

specific purposes only". The formation of the Data Protection Board and the fact that it will be manned by professionals is also important.

However, once the legislation is notified, its implementation will be a challenge as the cost of compliance for businesses, especially small and medium enterprises, may increase substantially. The law also proposes penalties for non-compliance that can go up to ₹250 crore. Then there are the costs associated with complying with the provisions of the law that organisations would have to contend with. Further, implementing the technical measures required to protect users' data could also be complex for some entities. This includes ensuring data security, data classification, managing consent and providing mechanisms for data portability and erasure.

ILLUSTRATIONS BY RAJ VERMA